Case Study Research on Nintendo Co., Ltd (TYO: 7974)

Recommendation: BUY

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Company Overview

Founded in 1889 as Nintendo Koppai by Fusajiro Yamauchi. Nintendo started off as a small playing card company in Japan. Nintendo today develops leisure and gaming equipment. The company focuses on software alongside its hardware and has successfully popularised their game characters and ingrained them as part of their identity.

Nintendo Business model:

Intellectual property

Creation and use of software characters as part of Nintendo's identity. Characters like Mario and Pokemon formed as part of Nintendo's identity. These intellectual properties further promote branding. They are popular at events like video games and comic conventions where they are iconic.

Core products/Services

As software is required to operate with its hardware, 3rd party compatibility is restricted allowing the original sale price to be maintained throughout the product life cycle, further increasing profits of hardware.

Key revenue segments

At their retail stores, popup stores and online, Nintendo produces gaming accessories, character figurines and merchandises for sale. Ability to licence its intellectual properties for use in media, movies and attractions (Appendix A).

Financial Analysis

Income statement

Net sales of Nintendo improved by 4.4% from 1,601.6 bn yen in FY23 to 1,671.8 bn yen in FY2024, this is a good sign and suggests that nintendo products and services are still in

demand.

Consolidated Financial Highlights

	FY23	FY24	Comparison
Net sales	1,601.6 bn yen	1,671.8 bn yen	+4.4 %
Operating profit	504.3 bn yen	528.9 bn yen	+4.9 %
Operating profit ratio	31.5 %	31.6 %	+0.1 pt.
Ordinary profit	601.0 bn yen	680.4 bn yen	+13.2 %
Net profit	432.7 bn yen	490.6 bn yen	+13.4 %
Net profit ratio	27.0 %	29.3 %	+2.3 pt.

・Net profit: Profit attributable to owners of parent
・FY = Fiscal Year
FY24 indicates the period between April 1, 2023 and March 31, 2024.

Selling, General and Administrative Expenses / Operating Profit

	FY23	FY24	Comparison
SG&A expenses	381.0 bn yen	425.3 bn yen	+11.6 %
SG&A expenses-to-sales ratio	23.8 %	25.4 %	+1.6 pt.
Operating profit	504.3 bn yen	528.9 bn yen	+4.9 %
Operating profit ratio	31.5 %	31.6 %	+0.1 pt.

・SG&A expenses: Selling, general and administrative expenses

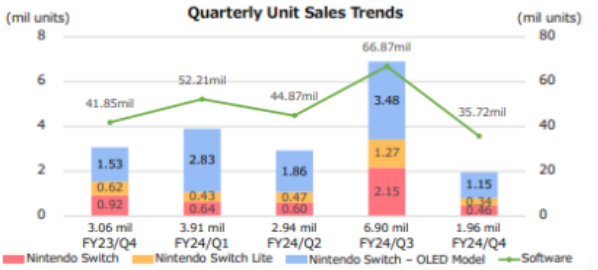
Effect of changes in foreign exchange rates on operating profit: approx. +35.0 billion yen

	FY23	FY24	Comparison
Research and development expenses	110.0 bn yen	137.7 bn yen	+25.2 %
Advertising expenses	94.9 bn yen	104.3 bn yen	+9.8 %

The year-on-year increase of 11.6% in **Selling, General, and Administrative (SG&A)** expenses amounted to 425.3 billion yen, operating profit increased by 4.9% year-on-year reaching 528.9 billion yen. The increase in gross profit led to the increase of operating profit margin by 0.1 point, bringing it to 31.6%, this shows that the company has the ability to remain profitable despite the increase in expenses over its financial period. The **Net profit ratio** increased by 2.3 points from 27% in FY23 to 29.3% in FY24, this indicates Nintendo's ability to maintain its profits after accounting for all expenses, interest and taxes, The ratio of 29.3%, this is a positive indicator of good financial health and efficiency.

Sales Status of Nintendo Switch (Sell-in: to business partners)

	FY23	FY24	Comparison
Hardware	17.97 mil units	15.70 mil units	-12.6 %
Nintendo Switch	6.14 mil Units	3.86 mil units	-37.1 %
Nintendo Switch – OLED Model	9.22 mil Units	9.32 mil units	+1.1 %
Nintendo Switch Lite	2.62 mil Units	2.52 mil units	-3.7 %
Software	213.96 mil units	199.67 mil units	-6.7 %



(Nintendo Co., Ltd., 2024)

In FY24, Switch hardware unit sales declined from 17.97 million to 15.70 million (12.6% decrease). This is made up of a large decrease in purchase of Nintendo switch models of 37.1% but an increase in purchase of Switch OLED models by 1.1%. Despite the decrease, their sales were considered stable despite being its 7th year since launch. Comparing Sales figures of gen 9 devices of Nintendo Switch (NS), Playstation 5 (PS5) and Xbox (XB) series. PS5 sales were 38.4 million units, NS sales were 125.62 million units and XB at 21+ million units (Appendix B).

Total software sales decreased from 213.96 million units in FY23 to 199.67 million units in FY24 (6.7% decrease). But sales increased for their new blockbuster release, Zelda: Tears of the Kingdom, Super Mario Bros. Wonder, and Pikmin 4. In addition The Super Mario Bros.

Movie released in April 2024, had positively impacted the sales of Mario related titles which resulted in 31 titles that sold over a million copies during the period (Appendix C). The top three lifetime sales of switch games alone reached 141.55million in sales. Mario Kart 8 Deluxe with 61.97 Million units sold, Animal crossing: New Horizons with 45.36 million units sold and Super Smash Bros. Ultimate with 34.22 million units sold. (Appendix D)

Balance sheet

Common base year comparison for Balance sheet

Breakdown	3/31/2024	3/31/2023	3/31/2022
Total Assets	3,151,394,000	2,854,284,000	2,662,384,000
Current Assets	2,573,302,000	2,314,513,000	2,126,212,000
Total non-current assets	578,092,000	539,768,000	536,169,000
Total Liabilities	546,396,000	587,818,000	593,076,000
Current Liabilities	479,276,000	533,480,000	540,726,000
Total Non Current Liabilities	67,119,000	54,338,000	52,350,000
Total Shareholders' Equity	2,604,998,000	2,266,466,000	2,069,308,000

Common size statement

Total Assets	100%	100%	100%
Current Assets	82%	81%	80%
Total non-current assets	18%	19%	20%
Total Liabilities	17%	21%	22%
Current Liabilities	15%	19%	20%
Total Non Current Liabilities	2%	2%	2%
Total Shareholders' Equity	83%	79%	78%

represented in '000

Total assets increased from 2,662,384 million yen in FY22 to 2,854,284 million yen in FY2023 to 3,151,394 million yen in FY24, this indicates that Nintendo is constantly acquiring more resources as they grow. Although Non-current assets increased, the common size statement shows that its percentage of total assets is reduced (20%) to (18%), which could indicate the company is expanding at a slower rate than before, taking on lesser debt to generate income. Current assets have increased in percentage of total assets from FY22 (80%) to FY24 (82%), showing that the company is able to maintain its liquidity for its short term needs.

Total liabilities decreased from 593,076 million yen in FY22 to 587,818 million yen in FY23 to 546,396 million yen in FY24, this decline when represented as a percentage of total assets which is a positive sign that the business acquires a higher percent of asset and it reduces its reliance on debt. Current liabilities contributed the most to this as it shows a decrease of 5% from 20% in FY22 to 19% in FY23 to 15% in FY24.

Total shareholders' equity increased from 2,069,308 million yen in FY22 to 2,266,466 million yen in FY23 to 2,604,998 million yen in FY24, when represented over total assets, the change jumps from 78% in FY22 to 79% in FY23 to 83% in FY24. With lesser reliance on liabilities, the company utilises financing from shareholder equities thus also reducing its exposure to default risk from debt, allowing it to continue to finance its operations.

Financial ratios (Profitability, liquidity, asset turnover, solvency.

Gross profit margin (GPM) = 57.08%
The GPM of Nintendo is 57.08% which is higher than the industry average of 32.5% for consumer electronics. The company is profitable.

Current ratio (CR) = 5.37
A CR of 5.37. The industry norm is usually a ratio of 2:1, this indicates that Nintendo is more than able to meet its short term obligations.

Return on asset (ROA) = 16.34%
The ROA of Nintendo is 16.34% which means that it is highly effective in utilising its assets to reap its profits.

Debt to equity ratio = 546,396 million yen / 2,401,119 million yen = 22.76%
The D/E of Nintendo is 22.76% indicates that the company efficiently leverages on equity to finance its operations as compared to liabilities reducing its risk of default on liabilities.
(https://www.investing.com/equities/nintendo-ltd-ratios)

INDUSTRY OVERVIEW:

Core business:

Nintendo's business strategy focuses on gaming, they have consistently created unique and innovative gaming experiences for its customers.They focus on customer engagement through age inclusiveness and family-friendly content in games that often allows for single, multiplayer or online gameplay.

Financial Forecast

However, looking at the consolidated Statements of Income, although net sales and profits have increased from FY23 to FY24, a decreasing trend is seen from FY 2021 to FY 2023, and forecasted FY2025 sales and ordinary profit ratio shows a decreasing trend since FY21 and is forecasted to fall to the 30% mark in FY25. This could be due to the pushback in the announcement for a successor for the Switch devices to the early months of 2025. ("Nintendo Plunges After Game Makers Say Switch 2 Pushed to 2025," 2024) (Appendix E).

Investment Thesis

Nintendo intellectual properties gives it an edge over its competitors. Nintendo games have reached the competitive scene and hosted tournament events. They have also moved into the movie industry producing the Super Mario Bros in partnership with Universal Pictures, Illumination, this increases Nintendo's Visibility and further popularised its brand. From their

financial statement, expenses grew year on year due to the depreciation of yen against foreign denominated currency. Growth in sales (4.4%) and gross profit margin (7.8%) from FY 23 to FY24 highlights its strength among its competitors. In FY2023, Playstation net revenue was $26.791 bn usd as compared to Xbox at $15.43 bn usd and Nintendo at $12.04 bn Usd, but Nintendo showed higher operating profit at $3.792 bn usd in comparison to Playstation's at $1.846 bn usd. The liquidity, profitability, solvency and efficiency shows that Nintendo financial ratios are healthy and above the industry norm. The current sales forecast for FY25 shows that sales are likely to decrease by 19.3% and net profit dipping by 38.9%.

Valuation

	Nintendo	Sony
Trailing P/E	20.78	36.7
EV/EBITDA	11.36x	7.28x

**obtained from Yahoo finance as of 8 June 2024, 9:12pm*

Nintendo has a higher PE ratio than the Industry average of consumer electronics shows P/E of 18.22 (Sarath, 2023). Comparing Nintendo to Sony, Nintendo's higher P/E ratio of 20.79 shows that investors currently value higher than Sony's P/E at 16.95. Nintendo has a higher EV/EBITDA ratio at 11.36 compared to Sony at 7.28. A general guideline indicates that a EV/EBITDA ratio of 10 and below is considered healthy this could indicate sentiments for future growth for Nintendo.

Key Risks & Mitigation

As Nintendo Switch reaches its seventh year of sale, sales of existing hardware would naturally decline as the market becomes saturated and competition becomes steep. As consumers expect a new device in the near future, they are likely to wait for the new release of the Switch 2 which drives down profits further in the current period. Nintendo struggles against Sony, finding it hard to even reach 15 million in sales, while Sony is aiming for 25m in sales this fiscal year. The correlation between hard and software sales poses a possible risk during a financially dry period; software sales are bound to be affected when hardware sales decline.

ESG Considerations

The ESG risk rating of Nintendo is 15.6 and considered low risk. They have efforts in reducing office CO2 emissions and a post-sales recycling program of old electronics, not just Nintendo products (*Environment*, n.d.) (Appendix F).

Recommendation

The announcement of the release of the Switch 2 in early 2025, could be a potential catalyst for future stock performance of Nintendo. On a positive note, the release of switch 2 in the

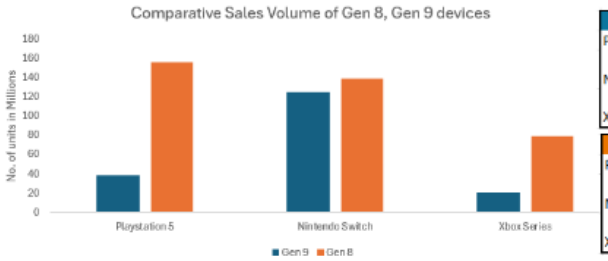
near future, and announcements will be made early 2025. The release of a successor device would revive the console market and secure sales for the company. Currently the financial health and performance looks to be doing relatively well, compared to its industry partners it looks to be performing well. Currently from the P/E and EV/EBITDA Nintendo looks to be undervalued and has potential to grow further in the future. Its current sales performance is to be expected for its top selling device to reach its seventh year of sale. Recommendation would be to purchase Nintendo stock.

Appendixes:

Appendix A

Universal studios Japan, Nintendo World.- (Nintendo Co., Ltd., 2024)

Appendix B



Gen 9			
Playstation:	PS5	(Nov 2020 to Mar 2023)	Source: Sony
Nintendo	Switch	(March 2017 to March 2023)	Source: Nintendo
XBOX	XB series	(2020 to present (unspecified))	Source: Microsoft

Gen 8			
Play station	PS4,PS5	(Nov 2013 to March 2023)	Source: Sony
Nintendo	Switch, Wii, Wii U	(Nov 2012 to March 2023)	Source: Nintendo
Xbox	Xbox one, Xbos series	(Nov 2013 to Present (unspecified)	Source: Microsoft

Credits: @DeekeTweak (Strickland, 2023)

Appendix C

The Legend of Zelda: Tears of the Kingdom
20.61 million units

Super Mario Bros. Wonder
13.44 million units

Mario Kart 8 Deluxe
8.18 million units

Nintendo Switch Sports
3.51 million units

Number of Million-Seller Titles (FY24)

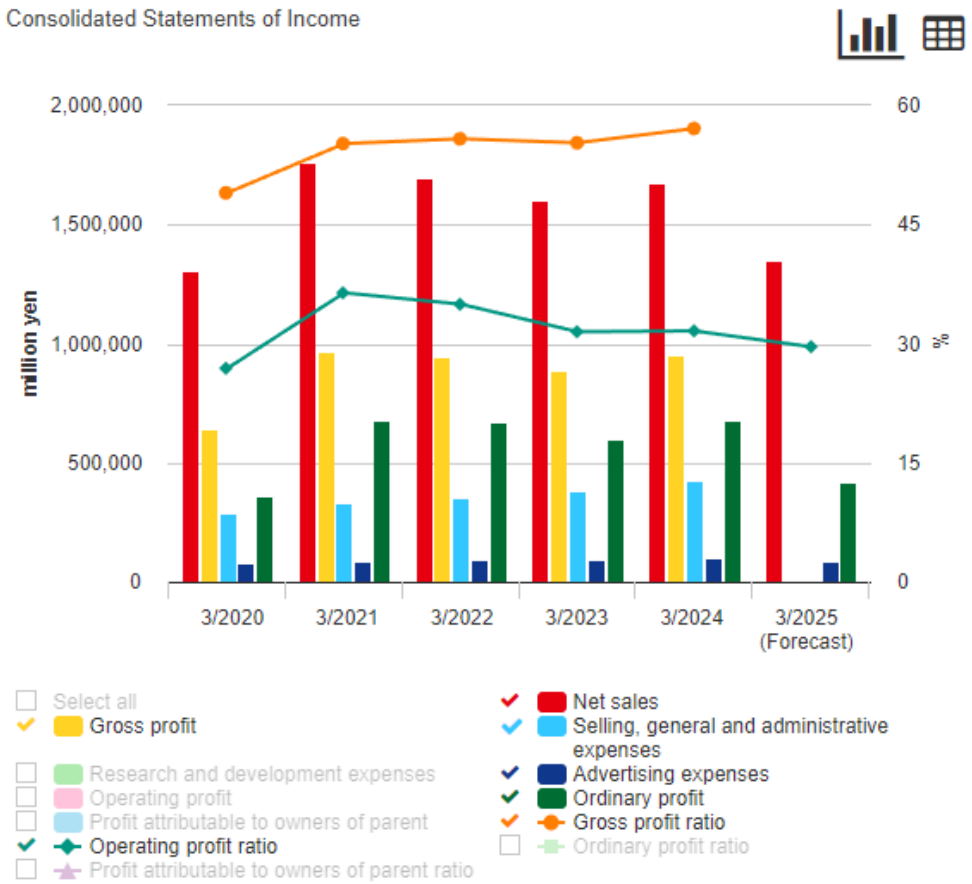
31 titles
Including 20 Nintendo titles and
11 titles by other software publishers

(Nintendo Co., Ltd., 2024)

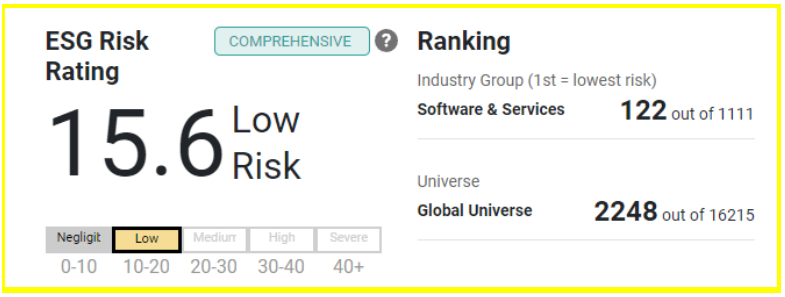
Appendix D

Source: Nintendo (IR Information : Sales Data - Top Selling Title Sales Units, n.d.)

Appendix E



Appendix F


ESG Risk Rating
COMPREHENSIVE
15.6
Low Risk
Negligible
Low
Medium
High
Severe
0-10
10-20
20-30
30-40
40+
Ranking
Industry Group (1st = lowest risk)
Software & Services
122 out of 1111
Universe
Global Universe
2248 out of 16215

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